

ANI

EUROPE CALLING
Modi with EU leaders António Costa and Ursula von der Leyen, New Delhi, Jan. 27

The lesson, belated but unavoidable, was that manufacturing growth without export competitiveness was unsustainable. To generate large-scale employment, move up value chains and reduce external vulnerabilities, India had to sell far more to the world than it did. There was also a growing realisation that overdependence on a few export destinations was a strategic vulnerability. Another lesson was that protectionism at home does not automatically build competitiveness. Despite higher tariffs and non-tariff barriers, India's import dependence, particularly on China, continued to grow. Policymakers also realised that while global capital and supply chains were seeking diversification, India could become a natural China+1 option only if it is credibly integrated into global value chains.

A FLURRY OF FTAs

So, the government began negotiating and signing a series of trade deals. In recent years, India has concluded agreements with Mauritius (2021), the UAE (2022), Australia (2022) and the European Free Trade Association (EFTA) (2024). Just last year, India signed three major trade pacts with the UK, Oman and New Zealand. What distinguishes this phase of negotiations is not just the speed, but also the method and clear set of principles and red lines set for trade engagements.

Among these was the decision to engage with the "best" nations—developed countries with whom India was not in competition and with whom it could build complementary partnerships. "There was a fundamental mistake Congress and the UPA government under Prime Minister Manmohan Singh made," Goyal says. "They negotiated free trade deals with countries that were largely our competitors—developing or less-developed nations. They didn't have the courage of conviction to be able to talk to the developed world, other than Japan and Korea." In these latter two deals, India soon faced adverse trade balances, and the Modi government is now in the process of renegotiating them.

What distinguishes the current round of deals is a clear set of principles: engage with developed countries we are not in competition with, but with whom we could have a complementary partnership

Also, instead of the mega-bloc vulnerability that RCEP would expose it to, India preferred bilateral leverage, where it could protect sensitive sectors, pace liberalisation and shape outcomes more precisely. Commerce ministry officials say they were under instructions "to open up gradually and not recklessly". Tariff reductions were phased, quotas deployed where sensitivities existed and exclusions were clearly defined. For instance, in the UK and Australian agreements, only high-end wine and spirits were allowed to be imported with reduced duties, so that domestic liquor-producing companies would not be displaced.

This careful calibration was particularly important in the sensitive agricultural sector, where India successfully persuaded the EU to exclude a large portion, including dairy, from the deal. Similarly, in sectors such as automobiles, India adopted a graded approach, allowing only high-end, costly models to be imported to avoid undercutting domestic manufacturers. Moreover, the ministry held extensive stakeholder consultations with all key sectors to ensure that their concerns were fully addressed.

This graded approach was designed to buy industry time to readjust and to defuse political resistance. Even the Swadeshi Jagran Manch, a Sangh Parivar affiliate and vocal